BRIEFING

European Parliament

EU-China relations in challenging times

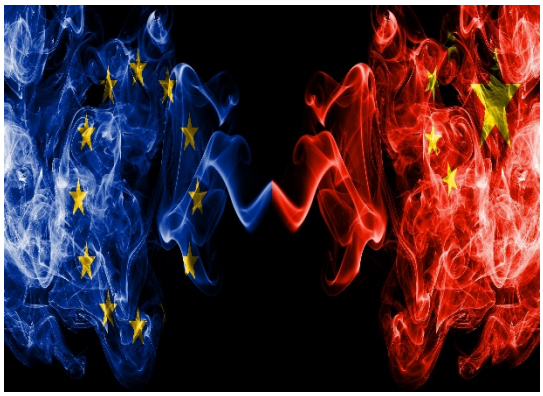
SUMMARY

Following the 1975 establishment of diplomatic relations with China, the European Economic Community (EEC) focused its strategic approach – in line with its competences at the time – on support for China's economic opening, launched in 1978 by Deng Xiaoping. While this approach resulted in a swiftly expanding trade and investment relationship, results in other areas are rather mixed. By most accounts, the strategy also failed to contribute to making significant progress on the rule of law in China and there were no visible results of the EU's human rights engagement.

Given that, at the beginning of Deng's reforms, China was very poor, the EEC/European Union (EU) de facto agreed to an arrangement for special and differential treatment, linked to China's status as a developing country. However, with China having become an upper-middle income country and the bilateral trade relationship still characterised by considerable asymmetries, the existing lack of reciprocity in market access and of a level playing field in general have attracted increasing attention.

At the same time, China has been regressing in terms of human rights. Furthermore, the country has become much more assertive in the regional context, is fast improving its (offensive) military capabilities and has started to engage in global disinformation campaigns and cyber-attacks.

As a consequence, the EU has changed its strategic approach considerably, as exemplified by the 2019 Joint Communication, which proposed different legal instruments to ensure a level playing field in trade, and to fend off Chinese attempts to gain access to critical infrastructures. Relations with the European Parliament have deteriorated, pushing Parliament to put the comprehensive agreement on investment (CAI) – which had been agreed on 30 December 2020 – on ice.



IN THIS BRIEFING

- EU strategic approach towards China since Deng's reforms
- The 1995 communication on 'A long-term policy for China-Europe relations'
- A modified strategic approach towards China
- Developments since the outbreak of the Covid-19 pandemic
- European Parliament: 2021 report on 'A new EU-China strategy'

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EU strategic approach towards China since Deng's reforms

Diplomatic relations between the European Union – then the European Economic Community (EEC) – and the People's Republic of China were established in May 1975, close to the end of the 'Great Proletarian Cultural Revolution'. During the same period, the power struggle following the death of Mao Zedong was decided in favour of reform-oriented Deng Xiaoping, then Vice-Premier and member of the Standing Committee of the Politburo, the country's highest decision-making body. The first meeting between an EU Commission President (Roy Jenkins) and Deng took place in 1979, followed shortly afterwards by the first Inter-Parliamentary Meeting in June 1980. In 1985, the EEC and China signed a trade and cooperation agreement that holds to this day, according to some views because 'China believes that ... the agreement cannot be beaten in terms of relative advantage to (China)'.[1]

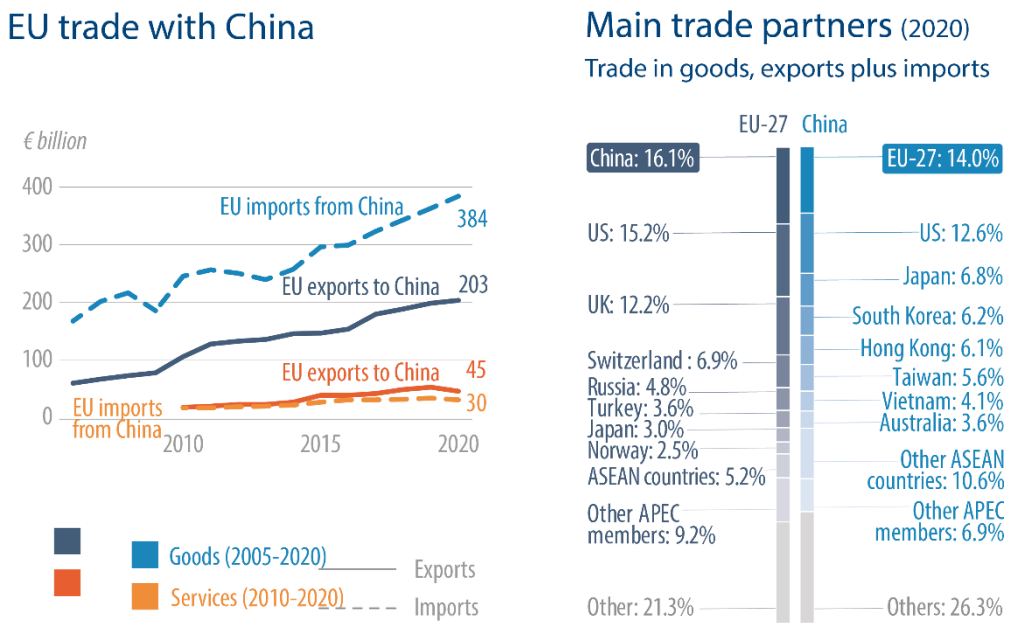
The EEC supported the process of 'reform and opening' in China launched by Deng. During that time, EEC Member States also sold weapons and dual technologies to China. However, following the lethal repression of the Tiananmen Square protests on 4 June 1989, the EU imposed an arms embargo that remains in place today, and bilateral relations soured.[2] Relations started to normalise once more as the Tiananmen Square crisis receded and after Deng's southern tour in January 1992 signalled the reappearance of a positive climate where the market would play a central role. The resulting 'widespread consensus among China's senior leaders about the necessity to deepen and broaden reform' was also received positively in the European Commission's 1995 communication on EU-China relations.

1995 communication on 'A long-term policy for China-Europe relations'

The 1995 Commission communication focused on **economic and trade policies**, both most relevant to the EEC's competences at the time. It insisted that the reforms launched by Deng had 'exceeded all initial expectations', and that as a consequence 'EU-China trade has increased over fourteen-fold', but with a rising imbalance in China's favour. The 1995 communication linked EU support for China's potential World Trade Organization (WTO) membership to changes in China's industrial policies, including the issue of subsidies, which would become increasingly important in subsequent years.

The Deng reforms have been a success from the economic development viewpoint – as 'an estimated 850 million people have been lifted out of poverty' in China' since 1978.[3] Developments on the trade side have also been significant: bilateral trade between the EEC/EU and China has grown exponentially, with the total bilateral trade volume rising from ECU2.4 billion in 1978 (EEC-9) to ECU69.1 billion in 1999 (EU-12). In 2019, the bilateral trade volume (goods and services) reached €671.3 billion (EU-27), meaning that, in nominal terms, both sides trade almost as much in one day today as they did in a year just over 40 years ago. At the same time, however, the bilateral trade relationship soon became characterised by a strong surplus in China's favour (reaching €161 billion for the EU-27 in 2019, as also demonstrated in the figure below).

Figure 1 – EU trade with China



Source: EPRS and European University Institute - Globalstat.

A recent study commissioned by the European Parliament characterised bilateral foreign direct investment (FDI) flows as 'underdeveloped', given the size of the EU and Chinese economies, although the stock of EU FDI in China reached €178 billion in 2017 (up from €54 billion in 2008), and the stock of Chinese FDI in the EU reached €59 billion (an almost tenfold increase compared to 2008). In comparison, United States (US) FDI in China reached close to US$125 billion in 2020, and Chinese FDI in the US reached US$38 billion in the same year.

Furthermore, given average annual growth rates of more than 10 % over a period of three decades, China's contribution to global gross domestic product (GDP) growth has become close to indispensable, as was observed during the huge worldwide economic downturns in 2008 (global financial crisis), and in 2020 (Covid-19 pandemic). China's current growth slowdown leads to concerns regarding their global impact.

On **political reforms** in China, the 1995 communication states that 'EU interests will ... best be served by supporting the development in China of institutions and a civil society based on the rule of law'. The wording of the communication on political reform(s) is very cautious, probably to take account of the 'Four Cardinal Principles' defined by Deng in 1979: upholding the socialist path; upholding the people's democratic dictatorship; upholding the leadership of the Chinese Communist Party; upholding Marxism-Leninism-Mao Zedong thought.[4]

Regarding **foreign policy**, the Commission communication stated an intention to 'promote a responsible and constructive Chinese role in the region' and mentioned the Korean peninsula and the South China Sea in particular, where it called for 'peaceful and negotiated handling of such problems'. A special chapter is dedicated to Hong Kong and Macao, insisting in particular on the implementation of the two Joint Declarations, guaranteeing, for instance, a 'high degree of autonomy to the two Special Administrative Regions'.

As of 2021, no significant progress has been made regarding the denuclearisation of (North) Korea – although China had occasionally tried to moderate the regime in Pyongyang. The situation both in the South China Sea and in Hong Kong has deteriorated significantly, in particular since Xi Jinping

became Secretary-General of the Chinese Communist Party (CCP) in 2012. In the South China Sea, China has reinforced land reclamation efforts;[5] China has rejected the binding arbitration of the United Nations International Tribunal on the Law of the Sea (ITLOS). Furthermore, the European Parliament has qualified the recent crackdown on the democratic opposition in Hong Kong, China's imposition of the national security law for Hong Kong and other incidents, as a 'comprehensive assault on the city's high degree of autonomy, rule of law and fundamental freedoms'. The Council reacted in very strong terms in its conclusions of 24 July 2020, condemning 'the erosion of rights and freedoms that were supposed to remain protected until at least 2047' in particular. Finally, China has recently become much more aggressive towards Taiwan, using violations of Taiwan's airspace in an attempt to intimidate its population.

Regarding **human rights**, the 1995 European Commission communication criticised China's failure to respect the freedom of association, expression and religion, the absence of access to free trial, the non-respect of the identities of minorities, and the continuing arrests of dissidents. The Commission recommended the promotion of human rights through the United Nations (UN) framework and the biannual human rights dialogue with China. Human rights development in China since 1995, particularly under Xi Jinping, suggest that there has been no progress on the human rights aspect of the 1995 strategy. On the contrary, the deterioration of the human rights situation in China is ongoing, including the treatment of minorities (in particular in Xi's second term as CCP Secretary-General).

A modified strategic approach towards China

In 2019, the Commission and then High Representative for Foreign Affairs and Security Policy/Vice-President of the Commission (HR/VP), Federica Mogherini, presented a joint communication on 'EU-China – a strategic outlook' that sought to respond to a greatly altered context. This communication saw China as a potential partner for cooperation to promote 'effective multilateralism and climate change', as an economic competitor, and as a systemic rival 'promoting alternative models of governance'. In addition to the external objectives identified in the joint communication, it identifies a 'domestic' one: the need for the EU to continue to reform its own position in the face of the now serious challenge from China.

China's status as a 'developing country' at the WTO

The 2019 joint communication states that 'China can no longer be regarded as a developing country', reflecting the new global situation, where China has become a global power and can no longer claim special (non-reciprocal) trade conditions, nor shirk its responsibilities regarding climate change by hiding behind the status of a developing country.

Developing country status allows China to request 'special and differentiated treatment' within the context of the WTO. This can have far-reaching consequences for trade, for example regarding the timetable for implementing agreements, or the reciprocity of market access rules. At the same time, the World Bank classifies countries into four groups (low-income, lower-middle income, upper-middle income and high income), based on their per capita gross national income (GNI), and categorises China as an upper-middle income country. However, China persists in insisting it is a developing country, as its per capita GDP, at US$10 484, is still far behind that of such countries as the USA, Germany or Japan.[6] The 2021 G7 communiqué also takes up this issue, under point 30, in the context of WTO reform, where it asks for a 'fairer approach to countries' different responsibilities'. This issue might also explain why, according to one expert, 'China had no serious interest in reaching a new basic agreement with the EU' to replace the 1985 trade and cooperation agreement.[7]

The fight against climate change

China's status as a developing country has also been central in its stance regarding the global fight against climate change. China became the largest emitter of carbon dioxide (CO_2) in absolute terms as early as 2005, and is currently emitting around 27 % of the global amount. However, China is also – as stressed in the 2019 joint communication – the biggest investor in renewable energies. However, although its per capita emissions surpassed those of Europe in 2013, they are still far below those of some developed economies such as Australia and the USA.

China maintained its traditional line that as a developing country, it had contributed little to the rising challenge of global warming for a long time, and therefore refused to make major international commitments on climate policies. This stance changed from 2016, when China announced that it would ratify the 'Paris Agreement under the United Nations Framework Convention on Climate Change (UNFCCC)', and in doing so, that China would set an emissions reduction target. In September 2020, President Xi Jinping stated that China will strengthen its 2030 climate target, peak emissions before 2030, and aim to achieve carbon neutrality before 2060. While President Xi reconfirmed the latter two goals in his speech to the United Nations General Assembly on 21 September 2021, China has not yet submitted more ambitious 2030 target(s).

The 2019 communication remains critical of the fact that China continues to construct coal-fired power stations in many countries, thereby 'undermining the global goals of the Paris Agreement' and asks China to peak its emissions earlier than then planned (2030) – which President Xi subsequently promised in September 2020 – not least to 'inspire global action'. The joint communication also proposed that both sides should strengthen their cooperation on sustainable finance to promote climate-friendly projects.

China also opposes the Carbon Border Adjustment Mechanism planned by the EU to avoid that trade partners undermine EU companies subject to more ambitious (emission) targets through their exports to the EU. A spokesperson for the Chinese Ministry for Ecology and Environment recently declared the CBAM as 'essentially a unilateral measure to extend the climate change issue to the trade sector.'

Major instruments proposed by the 2019 joint communication

The 2019 joint communication recommends a number of individual initiatives to reduce the asymmetry in the bilateral trade relationship and to put an end to many of the practices the EU considers unjustified. In particular, the joint communication proposed internal EU action on public procurement, given the problem of implicit state subsidy of state-owned enterprises and direct state financing of companies who compete for procurement in third countries.

To better prepare the EU to face the challenges arising in respect of China, the 2019 joint communication also proposed a modified industrial strategy, focusing on internal EU cooperation around strategic value chains and on critical infrastructure, including an instrument for screening FDI. The European battery alliance project is an example of the modified industrial strategy.

Regarding the protection of critical infrastructure, the joint communication recommended the adoption of a common EU approach to security risks posed by 5G networks, and a horizontal sanctions regime to counter cyber-attack. On 17 May 2019, the Council announced the establishment of a framework allowing the EU to impose targeted restrictive measures to deter and respond to cyber-attack; imposition of the first sanctions based on this framework was decided on 30 July 2020.

State of play of major initiatives announced in the 2019 joint communication 'EU-China – A strategic outlook'

- 5G toolbox: introduced in 2020;
- Screening of FDI: the regulation was adopted in 2019 and became fully operational on 11 October 2020;
- Foreign subsidies instrument: a legislative proposal was adopted by the Commission on 5 May 2021;
- International procurement instrument: original legislative proposal dates from 2012; however, agreement on a general approach by the Council was only reached in June 2021;
- Anti-coercion instrument: legislative proposal to be adopted by the European Commission in the last quarter of 2021;
- Sustainable corporate governance: legislative proposal announced by the European Commission for the fourth quarter of 2021.

Developments since the outbreak of the Covid-19 pandemic

Health issues, the pandemic, disinformation and vaccine propaganda

The 1995 joint communication already mentioned health policy as one of the three areas of likely global impact of China's rise, insisting that 'China should be engaged in dialogue and cooperation ... towards the control and eradication of disease'. On 31 December 2020, the Chinese government informed the WTO that there had been an outbreak of an unknown virus in the Chinese city of Wuhan. It was fast assumed that it had its origins in that city's 'wet' market.

When Australia called for an independent enquiry into the origins of the coronavirus outbreak in April 2021, China imposed sanctions on certain imports from that country. One month later, the US administration launched its own investigation, which, however, failed to reach a conclusive assessment.[8]

The debate surrounding the origins of the Covid-19 pandemic has also seen major attempts by Chinese (and Russian) entities to launch a global disinformation campaign. As a study commissioned by the European Parliament shows, China first used state media, social media and diplomatic tools to seed confusion about the origins of the virus. At a later stage, Chinese disinformation campaigns focused on 'vaccine diplomacy', with China trying to depict itself as a 'responsible great power'.

Chinese entities are also active in the EU via malicious cyber activities. On 19 July 2021, a declaration, issued by current HR/VP Josep Borrell on behalf of the EU, attributed major security breaches to hacker groups known as Advanced Persistent Threat 40 and Advanced Persistent Threat 31. According to Borrell's declaration, the breaches had been 'conducted from Chinese territory for the purpose of intellectual property theft and espionage'.

Number of vaccines directly provided by China as of 4 October 2021

China has so far delivered (sales and donations combined) 933.9 million doses of vaccine, with Indonesia, Brazil, Pakistan, Iran and the Philippines receiving the highest amounts. Out of the total 933 million doses delivered, 572.9 million went to the Asia-Pacific, 241.4 million to Latin America, 72.3 million to Africa and 47.4 million to Europe.

Out of a total 71.9 million doses pledged as donations, 7 million were pledged to Cambodia, 5 million to Sri Lanka, 4 million each to Bangladesh, and Laos, and 3 million each to Pakistan, Myanmar, Vietnam, Iran, Nepal and Afghanistan.

Source: Bridge Consulting.

European Parliament position on the Comprehensive Agreement on Investment

Given the lack of reciprocal market access for EU companies trading in China and the absence of a level playing field, the EU had been negotiating a comprehensive agreement on investment (CAI) with China since January 2014. The CAI negotiations aimed at establishing a uniform legal framework for EU-China investment ties. The agreement was intended to go far beyond traditional investment protection, to also cover market access; investment-related sustainable development; and level playing field issues, such as transparency of subsidies; and rules on state-owned enterprises (SOEs) and forced technology transfer. An agreement in principle was reached on 30 December 2020 – in the last days of the German Presidency of the European Council.

The **European Parliament** had already called on the European Commission to complement its impact assessment with an evaluation of the impact of CAI on human rights in 2013. In 2018, Parliament called for specific provisions to be included, with a binding commitment to international labour and environmental standards. Given the developments in Xinjiang and the fast-deteriorating situation in Hong Kong, Parliament reacted strongly. In a resolution of 21 January 2021, Parliament criticises the rushed agreement on the CAI, 'while not taking concrete action against ongoing grave human right violations, for example in Hong Kong, Xinjiang Province and Tibet'. Given that the European Parliament will be asked to give its consent to the CAI, the resolution underlined that 'Parliament will carefully scrutinise the agreement, including its provisions on labour rights and reminds the Commission that it will take the human rights situation in China, including in Hong Kong' into account.

Specifically regarding respect for human rights, Parliament had earlier adopted a resolution on 'Forced Labour and the situation of the Uyghurs in the Xinjiang Uyghur Autonomous Region' on 17 December 2020. Here, Parliament had already criticised 'a pervasive digitalised surveillance system' and 'the ongoing persecution and the serious and systematic human rights violations that amount to crimes against humanity' in the country. This resolution called for the imposition of sanctions on the Chinese officials and state-led entities responsible for the severe repression of basic rights in Xinjiang. The implementation of 'large scale surveillance and arbitrary detention programmes' was indeed one main reason given by the EU for the imposition of sanctions against four Chinese officials and one state-led entity on 22 March 2021.

Resolution on Chinese countersanctions on EU entities and Members of the European Parliament and Members of Parliament

Adopted on 20 May 2021, Parliament's resolution:

- stresses that any consideration of ... CAI, as well as any discussion on ratification by the European Parliament has justifiably been frozen because of the Chinese sanctions in place;
- demands that China lift the sanctions before Parliament can deal with the CAI ...
- expects the Commission to consult with Parliament before taking any steps towards the conclusion and signature of the CAI;
- calls on the Commission to use the debate around the CAI as leverage to improve the protection of human rights and support for civil society in China;
- reminds the Commission that Parliament will take the human rights situation in China, including in Hong Kong, into account when asked to endorse the CAI.
- calls for the adoption of a 'toolbox of autonomous measures' and 'urges the Chinese Government to ratify and implement' International Labour Organization (ILO) Convention No 29, 105, 87 and 98.

The Chinese reacted immediately, announcing sanctions on five Members of the European Parliament – Reinhard Bütikofer (Greens/EFA, Germany), Michael Gahler (EPP, Germany), Raphaël Glucksmann (S&D, France), Ilhan Kyuchyuk (Renew, Bulgaria) and Miriam Lexmann (EPP,

Slovakia) – as well as Parliament's Subcommittee on Human Rights. The sanctions were also imposed on three Members of Parliament from EU Member States, the Political and Security Committee of the Council of the EU, two academics and two think-tanks, for 'severely harming China's sovereignty and interests and maliciously spreading lies and disinformation'.

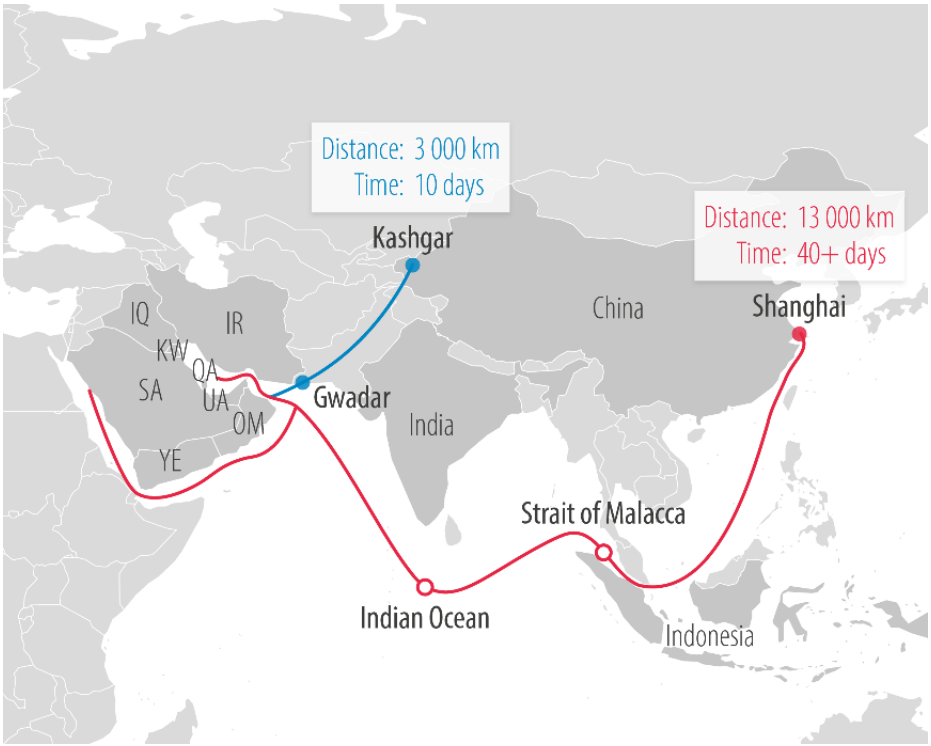
Military and geopolitical issues

Relations between China and some of its neighbours have also deteriorated, because of military developments in the South China Sea, the East China Sea and surrounding Taiwan. China has increasingly used **hybrid threats** against Taiwan, with the obvious aim of intimidating its population – recently by sending 28 warplanes to violate Taiwan's air space.

These issues have become a symbol of the wider trend in China's fast-improving **military capabilities**. According to an analysis by the Lowy Institute, China is considered to be engaged in the 'largest and most rapid expansion of maritime and aerospace power in generations', with the aim of 'ejecting the USA from the Western Pacific first and then aiming for dominance in the Indo Pacific region in a second step.' The same source continues that 'there are now sufficient elements showing that China's military development is not defensive in nature', quoting the deployment of a large number of long-range conventional ballistic missiles, a major expansion of the capabilities of China's long-range bombers and the growth of China's blue-water navy as evidence.

At the same time, the analysis argues that at the origins of the process of historic improvements in Chinese military power, there might have been a 'feeling of insecurity', which is well illustrated by China's **'Malacca dilemma'**, a recognition that China's energy supplies could be interrupted by a third country in a strategic location such as the Strait of Malacca. In this context, many sources claim that (one of) the main motivations for the construction of the China-Pakistan Economic Corridor (CPEC), from Gwadar Port in Pakistan to Kashgar in China, has been to circumnavigate the Strait of Malacca.

Figure 2 – China-Pakistan Economic Corridor and the Strait of Malacca



Source: EPRS.

China's belt and road initiative and EU strategy on connectivity

Some observers also see the 'Malacca dilemma' as one main motivations behind the belt and road initiative (BRI), a vast China-led infrastructure project stretching from East Asia to Europe. The 'Silk Road Economic Belt' was launched by President Xi during his state visit to Kazakhstan in September 2013, and the 'Maritime Silk Road' during his visit to Indonesia in October of the same year. By 2020, 138 countries, including some EU and candidate countries, and 30 international organisations, had officially adhered to the BRI project. In 2017, China also proposed to work together with Russia to turn the three main passages through the Arctic into an 'Arctic or Polar Silk Road'. According to the American Enterprise Institute and the Heritage Foundation China tracker, Chinese entities signed contracts worth US$473.88 billion for construction projects in BRI countries (out of a global total – excluding domestic projects inside China – of US$845.71 billion). Criticism has focused mainly on the fact that China seems to be exporting its excess capacity, that some projects do not appear to be sustainable, and that there is a general lack of transparency on many aspects of the projects. Concerns have also been raised about standards, environmental considerations and social requirements, including labour rights and human rights.

On 19 September 2018, the European Commission and HR/VP issued a joint communication on 'Connecting Europe and Asia – Building blocks for an EU strategy'. The proposed EU approach to connectivity was to be 'sustainable, comprehensive and rules-based'. The initiative acknowledges a significant investment gap in connectivity, and advocates for strengthened cooperation with Member States' public and private financial institutions, including sovereign funds, and with international financial institutions and multilateral development banks. Analysts welcomed the strategy as the EU response to China's BRI, which had sparked concern in the EU and in several participating countries, some of which are worried about possible 'debt traps'.

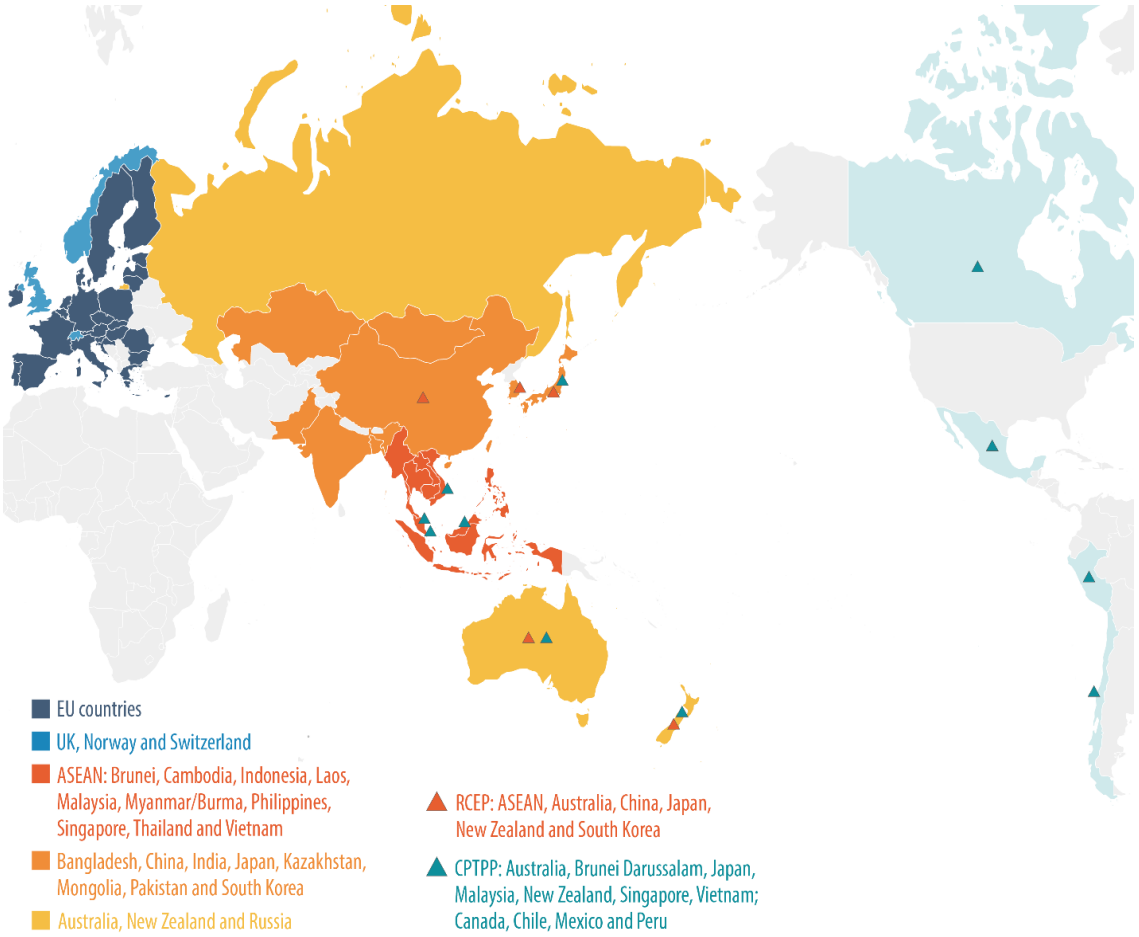
In her State of the Union speech of 15 September 2021, Commission President von der Leyen announced the forthcoming presentation of the new EU connectivity strategy: 'Global gateway'. The strategy will focus on a values-based approach, characterised by transparency and good governance, to 'create links, not dependencies'. Under this framework, the Commission aims at building **global gateway partnerships** with countries around the world.

On 21 January 2021, the European Parliament adopted a resolution on **connectivity and EU-Asia relations**. Parliament insisted that any project should respect core EU principles, such as 'social, environmental and sustainability, the rule of law and human rights and reciprocity.' The resolution also underlined the importance of the work on a European Indo-Pacific strategy and of cooperation within ASEM (See Figure 3).

The resolution also insists that, in order to be credible, the EU connectivity strategy has to include the 'necessary tools and means'. In this regard, it proposes to intensify cooperation between 'European and Member States development banks, investment ... and export agencies', in particular to mobilise 'private sector participation'.

Parliament also called for enough funds to be dedicated to the goals of the connectivity strategy in the framework of the 2021-2027 multiannual financial framework. Following the overall agreement on the Global Europe Instrument, the main instrument funding EU external action (with an allocation of €79.5 billion at current prices for 2021-2027), negotiations are currently ongoing, and will also determine the amounts dedicated to connectivity projects outside the EU and with Asia in particular.

Figure 3 – Asia-Europe Meeting (ASEM) countries



Source: E. D'Ambrogio, L. Killmayer, Prospects for EU-Asia connectivity, EPRS, April 2021.

European Parliament 2021 resolution on 'A new EU-China strategy'

On 15 September 2021, Parliament voted a report on 'A new EU-China strategy'. The core demand of this new resolution is that the HR/VP and the Council 'develop a more assertive, comprehensive and consistent EU-China strategy ... with the defence of our values at its core and promoting a rules-based multilateral order'. The resolution repeatedly stresses the **need for stronger cooperation on China between Member States, the Council and the Commission** on the one hand **and with like-minded partners** (including the USA, Canada, United Kingdom, Japan, India, Korea, Australia, New Zealand and Taiwan) on the other. In respect of like-minded partners, the resolution specifically calls for swift implementation of the **EU connectivity strategy**, as well as greater coordination between the connectivity strategy and the blue dot network, 'to provide a sustainable alternative to the BRI'. Parliament's resolution also calls for a strengthening of the strategic partnerships with the Association of Southeast Asian Nations (ASEAN) and the African Union. The resolution welcomes the launch of a new **EU strategy for cooperation in the Indo-Pacific** to reinforce the EU's presence and action in the region.

The resolution stresses the importance of an ambitious and dynamic relationship with the USA in the framework of a **Transatlantic Dialogue on China** and calls for stronger EU cooperation with the **North Atlantic Treaty Organization (NATO)** on Chinese security challenges, including the

implications of China's presence in Africa and in the Arctic. Finally, Parliament recommends dialogue and coordination with the countries of the **Quadrilateral Security Dialogue**.

Regarding **human rights**, the resolution calls for solid benchmarking of the progress made in bilateral dialogues on human rights. The resolution criticises China's disregard for human rights in Xinjiang, Tibet, Inner Mongolia, Hong Kong and Macao and **the lack of basic freedoms** (of expression, association, the press, and religion) in the People's Republic of China in general.

The resolution is highly critical of **China's aggressive policies** in the South China Sea and East China Sea and its provocations towards Taiwan. It stresses the importance of maintaining the status quo across the **Taiwan Strait** and the freedom of navigation in the Indo-Pacific region, and calls for Taiwan's 'full participation as an observer' in meetings of the WHO, International Civil Aviation Organization (ICAO) and the UNFCCC.

Parliament also reiterates its position that the ratification process for the EU-China Comprehensive Agreement on Investment (CAI) cannot start until the **Chinese sanctions against Members of the European Parliament** and EU institutions have been lifted. At the same time, the resolution acknowledges the Commission's efforts to address shortcomings linked to market access asymmetries, **a level playing field** and sustainable development through rules-based engagement, and calls on China to ratify and implement certain International Labour Organization (ILO) conventions. The resolution also elaborates on the EU's interest in the Regional Comprehensive Economic Partnership (RCEP) – 'the world's largest free trade agreement' – and expresses concern regarding the absence of provisions on trade and sustainability, including labour and social standards and climate and environmental objectives. The resolution also sees standardisation and 'normative' elements as indispensable, both for EU trade policy and its strategic industrial policy.

To foster EU 'open strategic autonomy,' the EU should also promote its **digital and technological sovereignty**, through investment in innovation and research and 'sovereign industrial strategy in areas including ... microchips and semiconductor production, rare earth mining, cloud computing and telecoms technology'; future digital sovereignty will also be promoted through **increased funding and research into 6G and artificial intelligence**.

Given attempts by entities operating from China to distort public opinion in the EU, to steal industrial knowledge and to appropriate critical infrastructure, the resolution calls for a '**coordinated EU cybersecurity strategy** and for better coordination with NATO and within the G7'. The resolution also calls for the European External Action Service (EEAS) to create a **dedicated Far-East StratCom Task Force**, focused on disinformation emanating from China.

Finally, the resolution calls for strengthening the EU's common foreign and security policy, including through the introduction of qualified majority voting and the enhancement of European strategic defence capabilities, to make the EU a more effective geopolitical actor.

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